NOTE 5 INCOME TAXES

Management believes the income tax positions taken for open years are appropriately stated and supported for all open years. The Company's federal tax returns for the years ended June 30, 2021, 2020, and 2019 are subject to examination by the Internal Revenue Service taxing authority.

The sources of deferred income tax assets and liabilities at June 30, 2022 and 2021 are as follows:

	June 30, 2022	June 30, 2021
Deferred tax assets:		
Bad Debt Allowance	200	3,600
Deferred Income	900	1,200
Contribution Carryover	500	—
Net operating loss carryforwards	38,900	38,600
	40,500	43,400
Deferred tax liabilities:		
Book/Tax Difference on Property and Equipment	(10,000)	(18,000)
	(10,000)	(18,000)
Net deferred tax asset before valuation allowance	30,500	25,400
Valuation allowance:		
Beginning balanace	(25,400)	(77,232)
(Increase) Decrease during the period	(5,100)	51,832
Ending balance	(30,500)	(25,400)
Net deferred tax asset	$ —	$ —

The income tax provision differs from the amount of income tax determined by applying the statutory federal income tax rate to pretax income (loss) for the years ended June 30, 2022 and 2021 due to the following:

	For the Years Ended June 30,	
	2022	2021
Computed at statutory rate	$ (4,487)	$ 76,384
Increase (decrease) resulting from:		
Nondeductible Meals & Entertainment	—	9
PPP Loan Forgivenss Income	—	(36,015)
State income taxes - net of federal tax benefit	(675)	6,076
Change in deferred tax asset valuation allowance	5,100	(51,832)
Other	62	5,378
Actual tax provision	$ —	$ —

The Company has available at June 30, 2022, $161,212 of net unused operating losses that may be carried forward and applied against future taxable income. Within this amount of net operating loss carryforwards, $54,902 expires on June 30, 2038, the remaining balance does not expire.